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20 💼🍋 PILLAR #2A1: DIRECT TAXES

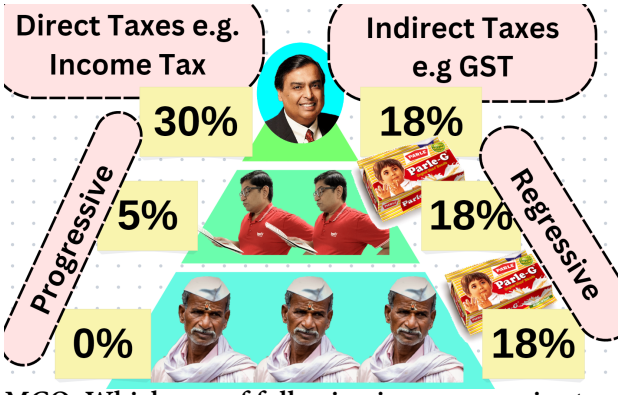
20.1.1 🍋 Types of taxes: direct / indirect: प्रत्यक्ष कर/ अप्रत्यक्ष कर

Parameter	Direct Tax (e.g. 5% Tax on income)	Indirect Tax (e.g. 18% GST on purchase of Biscuit)
👐 **Impact of Tax**: Point from where government collects the tax. Person who deposits the tax to govt. / Person who bears the initial burden	Income Tax Assessee (प्रत्यक्ष करदाता खुद)	Shopkeeper/seller (विक्रेता)
😨 **Incidence of Tax**: point where the burden of tax is ultimately felt and can't be transferred elsewhere. Incidence of a tax rests on the person(s) whose real net income is reduced by the tax.	Income Tax Assessee (प्रत्यक्ष करदाता खुद)	Customer/buyer (ग्राहक)
The incidence and impact of tax is….	**On the same person**	**Not on the same person.**

🎓Note: Above table's deeper interpretation also involves how 'burden' is shifted from seller to buyer, But we'll not waste time learning its Microeconomics GRAPH/PHD. #🕰️थोड़ा-पढ़ो-आगे-बढ़ो

20.1.2 📐 Types of taxes: Progressive vs Regressive

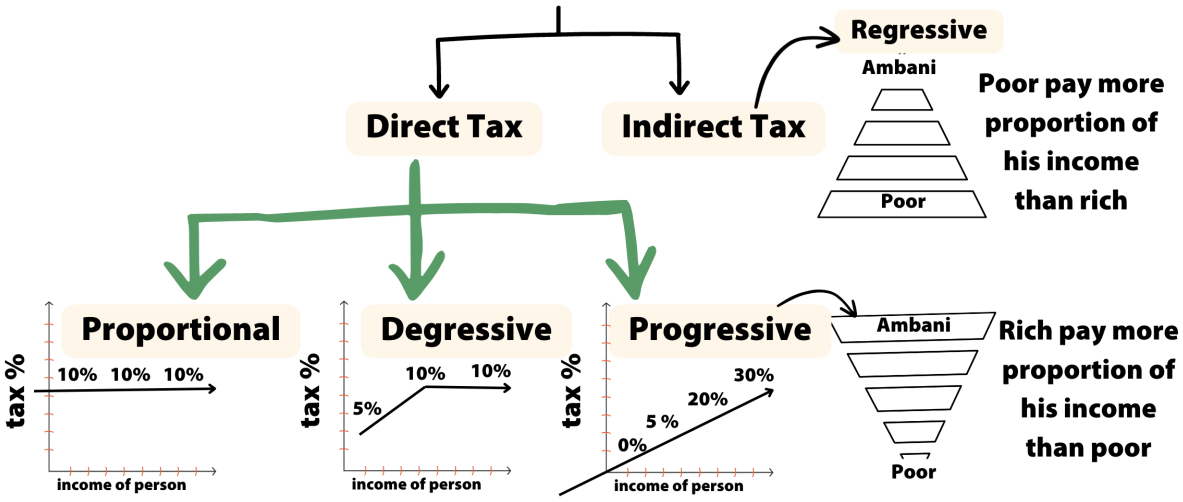
Progressive (प्रगामी: अमीर पे ज्यादा गरीब पे कम)	Regressive (प्रतिगामी)
- 5%-20%-30% income tax slabs depending on your income. - Thus, richer the person, bigger proportion of his income will go into taxes. Thus, direct taxes are progressive in nature.	- 18% GST on Biscuits worth ₹100 = ₹18 paid as (indirect) tax. - When Mukesh Ambani buys one packet, and a poor man buys one packet, greater proportion of poorman's income is gone in taxes. Thus, indirect taxes are regressive in nature. (गरीब आदमी की वेतन का ज्यादा हिस्सा जाता है)



MCQ. Which one of following is a progressive tax structure? [UPSC-CDS-2015-II]

(a) Tax rate is the same across all incomes (b) Tax rate increases as income increases

(c) Tax rate decreases as income increases (d) Each household pays equal amount of tax



20.1.3 Types of Direct Taxes: proportional / degressive

Direct Tax	Example
Progressive	learned in previous section.
Proportional समानुपाती🔁	If Govt. had a single 10% flat rate direct tax on income irrespective of whether you're a poor, middle class, upper middle class or a rich person. Then each taxpayers' same proportion of income(10%) will go into taxes.
Degressive tax:	• It is a blend of progressive tax and proportional tax. If a direct tax increases upto a point & after that limit, a uniform rate is charged (5-5-10-10-...10). So, its partly proportional because tax rate remains unchanged even if income increases. (✋but further PHD not req on this term.) • **If MCQ asks** then Ans= income tax is **PROGRESSIVE TAX.**

20.1.4 💣 Adam Smith's 4 canons of taxation (कराधान के चार सिद्धांत)

1. Canon of **Equality** (समानता का सिद्धांत): Tax should be equal /proportionate to income. Rich people should pay more taxes than poors.
2. Canon of **Certainty** (निश्चितता का सिद्धांत): dates, slabs, % should be definite & told in advance. Randomly govt should not demand "x%" tax to build statue, temple or mosque.

3. Canon of **Convenience** (सुविधा का सिद्धांत): tax payer shouldn't be made wait for a kilometre long queue & fillup 50 pages worth tax forms.
4. Canon of **Economy** (मितव्ययता का सिद्धांत): to collect ₹ 100 crore tax, govt shouldn't be spending ₹ 99 crores in salaries of tax officials.

🔠❓ ***MCQ. Which of the following was not advocated by Adam Smith? (UPSC-CDS-2019-1)***

a) Canon of equality b) Canon of certainty c) Canon of convenience d) Canon of fiscal adequacy

🔠❓ ***MCQ. Find Correct Statements (UPSC-CDS-2016-1)***

1. *Ability to pay principle of taxation holds that taxes people pay should relate to their income or wealth*
2. *The Benefit Principle of taxation states that individuals should be taxed in proportion to the benefit they receive from Government programmes*
3. *A progressive tax takes a larger share of tax from poor families than it does from rich families*
4. *Indirect taxes have the advantage of being cheaper and easier to collect*

Answer Codes: (a) 1 and 3 only (b) 2 and 4 only (c) ✅ *1, 2 and 4 only (d) 1, 2, 3 and 4*

21 🍋🤷‍♀️ DIRECT TAXES: TYPES (प्रत्यक्ष करों के प्रकार)

Direct Taxes	👴 of Union Govt. * *Means Abolished*	👩‍🦱🕉️ Of State Govt.
👜On income (आय पर)	- Corporation Tax, Minimum Alternate Tax (MAT) - Income Tax on income except agri. - Capital Gains Tax (CGT) - ❌ **Dividend Distribution Tax (DDT)*	1. Agriculture Income tax 2. Professional Tax (Constitutional ceiling of max ₹2500 per year)
🏠On assets, transactions (संपत्ति, लेनदेन पर)	- Securities Transaction Tax (STT) & Commodities Transaction Tax (CTT) - ❌ **Wealth Tax (संपत्ति कर)* - ❌ **Banking Cash Transaction Tax* - ❌ **Estate Duty*	1. Land Revenue (भू राजस्व) 2. Stamp/Registration duty 3. Property tax in urban areas (शहरी क्षेत्रों में संपत्ति कर)
🛒On expenditure (खर्च पर)	– ❌ **Hotel Receipt Tax, *Gift Tax* – ❌ **Fringe Benefit Tax i.e. When the employer give benefits to employee apart from salary e.g. subscription to gymkhana or golf-club.*	#Road Tax (although debatable as in some States/categories of vehicles- the seller will collect & submit)

🚩👶FAQ: How much money collected from these taxes? Ans. REF: Pillar2A2: GST Handout

21.1.1 🌭🍋 Estate Duty, Wealth-tax, Inheritance Tax (Abolished)

	Estate Duty /inheritance/death tax	Wealth-tax	Gift Tax
What?	From 1953 onwards: when property owner dies, his legal heirs pay this tax. **Rates**: 5%-40% depending on value	when owner is alive, he has to pay this tax. **Rate**: 1% wealth tax on assets of Rs 30 lakh and	From 1958: Gift tax whenever person received gift valued more than Rs."X".

	Estate Duty /inheritance/death tax	Wealth-tax	Gift Tax
	of property/estate	above	
Abolished?	Budget-1985	Budget-2015 (Jaitley)	Budget-1998

Reason for abolishing these taxes?

- The revenue collection was very low, and the administrative cost of collection was very high.
- Scope of evasion by undervaluation of property.

21.1.2 🪶🍋 should we re-introduce inheritance tax / wealth tax / estate duty?

refer to Mains Handout Pillar2.

21.1.3 🍋🤦♀ Paper Taxes = wealth tax, gift tax and estate duty says NCERT.

Govt never earned large amount of money from wealth tax, gift tax and estate duty. So these taxes were informally called as 'paper taxes'- says NCERT. (सरकार को कभी भी संपत्तिकर, भेंट कर, और एस्टेट ड्यूटी में से बहुत ज्यादा मात्रा में आमदनी नहीं हुई इसलिए इनको "कागजी कर" कहा जाता था.)

🔠❓*MCQ. **Corporation tax is imposed by** _ _ _ [UPSC-CDS-2013-II]*

(a) State Government(b) Central Govt (c) Local Government(d) State as well as Central Govt

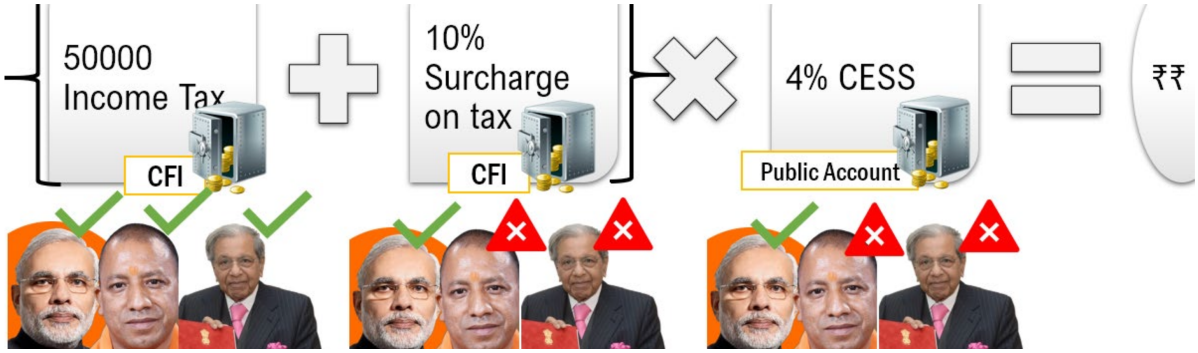
21.2 🍋🤦♀ DIRECT TAXES: MERITS AND DEMERITS (प्रत्यक्ष करों के लाभ व् नुकसान)

😀Merits of Direct Taxes	😓Demerits (नुकसान)
1. **Progressive** (प्रगामी: richer the person higher the tax): income inequality ⬇ 2. **Promotes** civic consciousness (नागरिक चेतना) since citizen directly feels the 'pinch of tax' (चुभन महसूस करना). 3. To ⬆ **savings** & investment: Income tax deduction/exemptions on NPS/ LIC etc. 4. **Elasticity** (लचीलापन): As public's income level ⬆ then tax revenue ⬆ 5. **Certainty** (when and how to pay IT, निश्चितता) 6. Can ⬇ volatility in International currency exchange rates by imposing ***Tobin Tax*** (More in Pillar#3) (*मुद्रा विनिमय दर की अस्थिरता को कम किया जा सकता है*)	1. **Externality** (बाह्यता) not counted: Academic Books Author vs Film star promoting cigars [30% Income Tax on both]. 2. **Hardship** not counted: Working Carpenter [5%] vs sleeping landlord [5%] (कठिन परिश्रम के लिए कोई रियायत नहीं) 3. High level of direct tax= **laziness**, less foreign investment. (उची दरे लोगों को आलसी बनाती है) 4. **Narrow** base: poor people not covered. If we try then very large staff will required to supervise over poor people. (संकीर्ण आधार) 5. Prone to **litigation** & loopholes, tax evasion, avoidance. (*More in #2B: Blackmoney)* (मुकदमेबाजी, कर-चोरी, कर-परिहार)

21.3 🍋🤦♀UNION TAX, CESS AND SURCHARGE (केंद्रीय कर, उपकर और अधिभार)

Any Union Tax (संघ कर)	- Computed on taxable income, profit, transaction. Goes to Consolidated Fund of India ⟶ Later divided between Union and states as per the Finance Commission formula. (IGST's distribution matter slightly different. Refer to Pillar2B:GST.)
Surcharge	- Computed on Tax amount. So, it is a 'tax on tax'. This ₹₹ will also goto CFI.

(अधिभार)	- Surcharge is not shared with States using Finance Commission Formula. - Usually, surcharge doesn't have any clear objective in 'prefix', so it may be used for any purpose. Exception is 10% **Social Welfare Surcharge** (समाज कल्याण अधिभार) on the customs duty on imported goods. ⟶ ₹₹ specifically used for social welfare schemes of the Union. (सामान्य रूप से इन पैसों का उपयोग किस खास काम में होता है उसे स्पष्ट बताया नहीं जाता)
Cess (उपकर)	- Computed on [(Tax) + (Surcharge, if any)] - Clear objective is mentioned. E.g. Road & infrastructure cess, Health & Education, GST compensation cess etc. - By default, cess goes to CFI⟶ from there, cess goes to Public Accounts. Sometimes there may be separate fund inside public account for it, e.g. Central Road Safety Fund, Prarambhik Shiksha Kosh etc. - Finance Commission can't prescribe formula to share cess with States. (Although some of the cess money will invisibly goto states as a part of scheme implementation e.g. Pradhan Mantri Fasal Bima Premium share, etc. but that depends on discretion of Union) (इस रकम को वित्त आयोग राज्यों के साथ नहीं बाँट सकता. केंद्र सरकार अपने विवेक से अलग अलग योजनाओं में शायद इस उपकर का कुछ पैसा राज्यों को दे सकती है) - GST Compensation Cess matter is little different. *<explained in the GST segment of next handout>*



21.3.1 🍋💁♀️: 🚩👶Cess pe FAQ & PHD

🚩👶FAQ: Why does Govt levy cess/surcharge, why is Finance Commission Kept out of it?

Ans. So Ruling party@Union can use money for their favourite schemes without having to share the money it with State Govt. (ताकि केंद्र का सत्ता पक्ष अपनी मर्ज़ी से उस पैसे को इस्तेमाल कर सके। बिना राज्यों को हिस्सा दिए)

🚩👶FAQ: IS it compulsory that every tax MUST have Cess and Surcharge on it?

Not compulsory. Depends on Govt's mood / discretion. (सरकार की मर्ज़ी पर निर्भर)

🚩👶FAQ: Is Cess applicable only on direct taxes OR on indirect taxes?

Some of them applicable on direct taxes. Some of them applicable on indirect taxes.

Cess examples ⟶	Applicable on
Health & Education Cess ⟶	Levied on Direct Taxes such as Income Tax, Corporation Tax
Health Cess ⟶	Levied on Customs Duty on Imported Medical Devices
Agriculture Infrastructure and Development Cess	Levied on Customs Duty on some products Levied on Excise Duty on some products
Road & Infrastructure Cess	Levied on Excise Duty on Petrol, Diesel

GST Compensation Cess	Levied on GST on some products e.g. Vimal Gutkha, cars etc.
Solid Waste Management (SWM) Cess	Urban Local Bodies (ULBs) levy user fees or SWM cess as per the provisions of Solid Waste Management Rules, 2016 by Environment Ministry. Rate: usually ₹30-50 per month.

FAQ: Is "Health Cess" and "Health & Education Cess" same or different?

Ans. Different. Observe table given above.

FAQ: I've 500 other doubts. Ans. Not important for UPSC exam.#थोड़ा-पढ़ो-आगे-बढ़ो

21.3.2 Direct Tax → Cess: Pradhan Mantri Swasthya Suraksha Nidhi (PMSSN)

प्रत्यक्ष करों पर लगाए गए उपकर का पैसा इस फंड में डालेंगे और विविध स्वास्थ्य योजनाएं चलाएंगे

⇒ Govt levies 4% Health & Education Cess on direct taxes such as income tax & corporation tax. (प्रत्यक्ष करों पर स्वास्थ्य व शिक्षा उपकर)

⇒ 2021-March: govt created a new "Non-Lapsable" fund under Public Account. (What is "Non-Lapsable fund? Ref: Pillar#2D). लोक लेखा में एक ग़ैर-व्यप्तगत निधि बनायी जाएगी

⇒ This fund will receive ₹ ₹ from above cess.

⇒ Health ministry will use this money for (More in Pillar#6)

- 1) Ayushmann Bharat & its sub schemes like PM-JAY (5L-Health insurance),
- 2) Pradhan Mantri Swasthya Suraksha Yojana (setting up AIIMS-like institutions in every state & upgrading government medical colleges).
- 3) National Health Mission (NHM) राष्ट्रीय स्वास्थ्य मिशन
- 4) Health emergencies like Corona स्वास्थ्य आपदाएँ

21.4 Direct Tax → Corporation Tax (निगम कर)

Figure 1: निचोड़ निचोड़ के कर/टेक्ष लेंगे, किसी को नहीं बख्शेंगे!

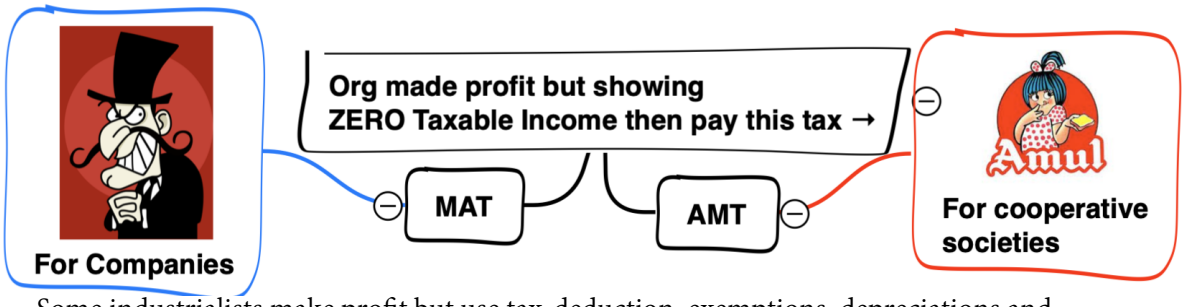
⇒ Also known as "Corporate Income Tax (CIT: निगमो पे लगने वाला आयकर)"

⇒ It's levied on Company's profit, under the Income-tax Act, 1961. (Technically called "NET Income" but we're not here for CA-exam's pedantry.)

Sr	Type of Company	Corporation Tax on profit
Sr1	New INDIAN MFG company registered from 1/10/2019 onwards.	15 % +10% surcharge on (tax) +4% health edu cess (on tax + surcharge)= 17.01%
Sr2	other Indian companies not mentioned in Sr.1	22% +10% surcharge on (tax) +4% health edu cess (on tax + surcharge)= 25.17%
Sr3	Foreign Company's profit from India	↓ from 40% →35%. (Budget-2024)
Sr4	Foreign company that provides cloud services to global customers from data	0% tax till 2047. announced in Budget-2026.

Sr	Type of Company	Corporation Tax on profit
	centre in India	
Sr5	🐷 Zero Profit companies	14% MAT (see next section)

21.5 🍋🤵♀️:🏦🐷 Minimum Alternate Tax (MAT) & AMT (न्यूनतम वैकल्पिक कर)



- Some industrialists make profit but use tax-deduction, exemptions, depreciations and accounting tricks to show ₹0 taxable income to escape paying Corporation Tax. So,
- Budget-1996 (Chidambaram) introduced 18.5% MAT on **book profit** of such 'ZERO TAX Companies', using a different type of formula. ~~(What was the formula, not important).~~
- Modi govt ↓ reduced MAT from 18.5% ⟶ 15% ➞ 14% (👛Budget-2026)
- Alternative Minimum Tax (AMT) is a similar type of tax on Cooperative societies e.g. Amul, IFFCO. (we will not waste more time on it. Beyond this 1 line GK.)

🚩👶**FAQ: if it is showing zero taxable income, then how can we complete the tax on it?**

Ans. Explained in the video lecture. Beyond that you may feel free to do PhD & Chartered accountant-giri from https://www.incometaxindia.gov.in/tutorials/10.mat-and-amt.pdf

21.5.1 🍋🤵♀️:🏦🌱 Corporation Tax on Startups

Figure 2: "अभी अभी धंधा शुरू किया है, थोड़ा बख्श दो, मालिक!" IT Dept: "ठीक है, सिर्फ थोड़े वर्षों के लिए ही!"

✓ Startup can claim 100% deduction (=Tax Holiday) on its profits, for 3 years out of the first 10 years of registration incorporation. (Tax Holiday = no need to pay tax.)

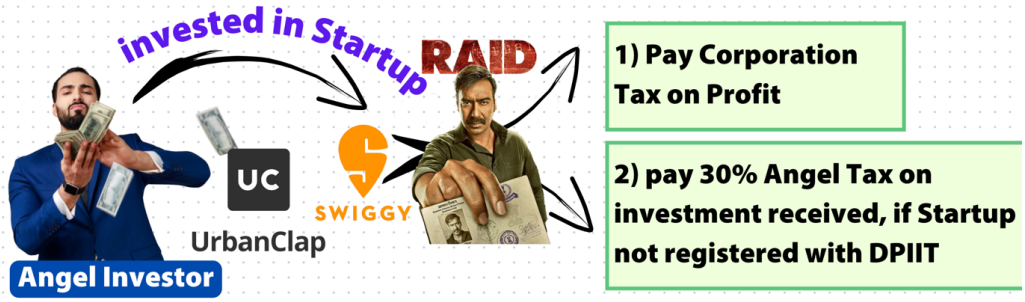
21.5.2 ☘️ Startup - new definition (2026-Feb)

Start-up Is a firm doing innovation with following criteria (More in Ref: Pillar#4B)

	Before	After Feb-2026
Startup	Age- not older than 10 years. AND Turnover not more than ₹100 cr	10 yr & **₹200 cr**
Deep-Tech Startup	no separate definition	20 yrs, ₹300 cr

Startups can't invest in real estate or speculative assets unless they're crucial to their knowledge production.

21.5.3 🍋👋🤵 Angel Tax on Startup Investments (2012, DELETED by 👛Budget-2024:)



⇒ DPIIT = Dept for Promotion of Industry and Internal Trade (DPIIT) under Commerce Ministry.

21.6 🍋🤵♀️: 🏦 Equalisation Levy / Google Tax (समकारी लेवी/ गूगल टैक्स) Abolished

What does above chart mean? Ans. Explained in Video Lecture.

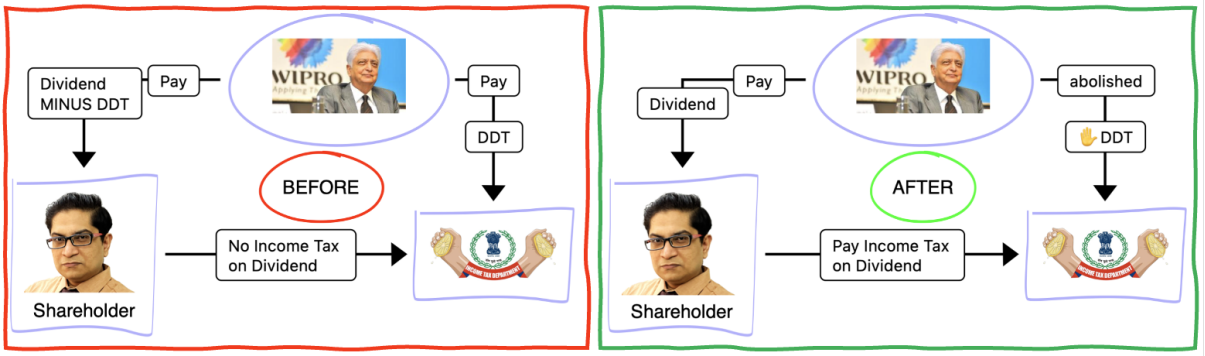
👛Budget-2024-July has abolished this tax. I'm also deleting its PYQ from HDT.

21.6.1 Related terms / Faaltu-ke-Doubts

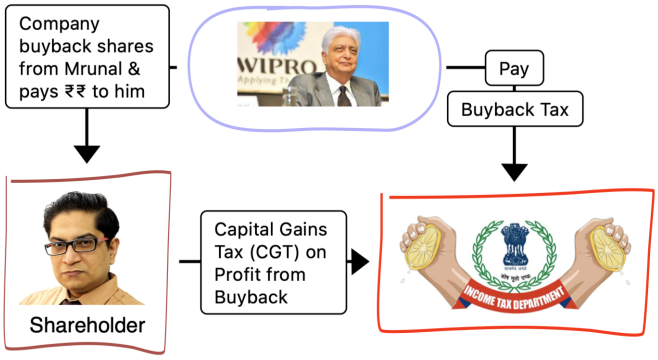
- What is Global Minimum Tax, DTAA, GAAR, PoEM etc? Ans. 📄Pillar#2B: Black Money.
- **'Global Minimum Tax' regime :** (More in 📄Pillar#2B: Black Money)
- **Significant Economic Presence** (SEP: उल्लेखनीय आर्थिक उपस्थिती): Concepts basically means if a foreign company is making money from Indians through digital ads / streaming services (e.g. NETFLIX videos from overseas servers) then the company has 'SEP' in India, therefore, Indian govt has powers to tax it.
- OECD used a phrase **'Tax challenges of digitization'** to denote above problems where digital services type Multinational Corporation (MNC) avoiding taxes. (बहुराष्ट्रीय निगमो द्वारा कर को टालना)
- France has implemented tax on large technology companies called **GAFA Tax** (Google Apple Facebook Amazon) from 1st Jan 2019. Other nations also doing similar.
- 🚩👶FAQ: What is the **difference between tax, duty, levy**?= if you get selected in IRS (Indian revenue service) they'll teach you in training. 🎓✋Not-imp here. #थोड़ा-पढ़ो-आगे-बढ़ो.

21.7 🍋🤵♀️: 💳 DIVIDEND DISTRIBUTION TAX (DDT: लाभांश वितरण कर)

- 1997: FM Chidambaram started to levy DDT on a shareholder's dividend income.
- Shareholder did not have to pay separate Income tax on such dividend
- DDT Rate: 15% + cess + surcharge = 20.56% on dividend paid.
- 💼**Budget-2020: abolished DDT.** But, dividend will be taxable in the hands of shareholder (i.e. he'll pay income tax on it). 🤩**Benefits?**
  - ✓ Previously even lower middle-class shareholder's ~ 20% dividend was cut in the name of DDT. But now he may have to pay barely 0-5% income tax on income from dividend.
  - ✓ Thus, Shareholders get to keep more ₹₹ for spending⟶ shopping spree ⟶ demand, production, economic growth. (मध्यम वर्ग की जेब पर कर-बोझ कम होगा.)

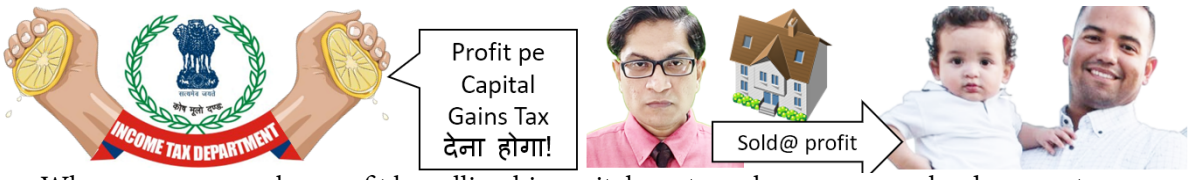


21.8 🍋🤵♀️: 💳🛒 BUYBACK TAX (शेयर की वापसी-खरीद पर कर)



👛Budget-2026: **22-30% share buyback tax** depending on type of transaction.

21.9 🍋🤵♀️: 🏠🎨💍CAPITAL GAINS TAX (CGT: पूंजीगत लाभ कर)



- When an owner makes profit by selling his capital assets such as non-agro-land, property, jewellery, paintings, vehicles, machinery, patents, trademarks, shares, bonds & other securities- then he has to pay CAPITAL GAINS TAX (CGT).
- Depending on how long did the owner keep that asset before selling it, he will pay:
  - EITHER Long Term Capital Gains tax (LCGT: x% दीर्घावधि) **OR**
  - OR Short Term Capital Gains tax (SCGT: y% अल्पावधि)

Capital Gain Tax	Short-term (SCGT) लघु अवधि	Long term (LCGT) दीर्घ अवधि
Shares, Mutual funds etc financial assets	if sold during the first 12 month of ownership	after 12 months
Other assets e.g. home, building	if sold during the first 24 months of ownership	sold after 24 months

- Depending on the time of sale, you have to pay either long-term or short-term. You don't have to pay both of them. (कोई एक ही टेक्स लगाता है- शोर्ट टर्म या लोंग टर्म। दोनों टैक्स इक-साथ नहीं लगते।)
- Note: above time(year) and tax% are different for different types of assets.
- 👜🎁 Budget-2022: Bitcoin, NFT and other virtual digital assets (VDA): profit pe 30% CGT. Trade/Transfer pe 1% TDS (Refer to 📄Pillar1: 1A1 about cryptocurrency theory)
- 👛Budget-2023: nothing exam-worthy. | **Interim Budget-2024:** No changes made.
- 👛Budget-2024-July: made changes. refer to next section.

🔠❓***MCQ: In which of the following circumstances may 'capital gains' arise? (Prelims-2012)***

1. *When there is an increase in the sales of a product.*
2. *When there is a natural increase in the value of the property owned.*
3. *When you purchase a painting & there is a growth in its value due to increase in its popularity.*

Answer Codes: (a) 1 only (b) 2 and 3 only (c) 2 only (d) 1, 2 and 3

🔠***MCQ. St-I: In India, income from allied agricultural activities. like poultry fanning and wool rearing in rural areas is exempted from any tax.***

St-II: In India, rural agricultural land is not considered a capital asset under the provisions of the Income-tax Act, 1961. (Prelims-2025)

(a) Both St-I and St-II are correct and St-II explains St-I

(b) Both St-I and St-II are correct but St-II does not explain St-I

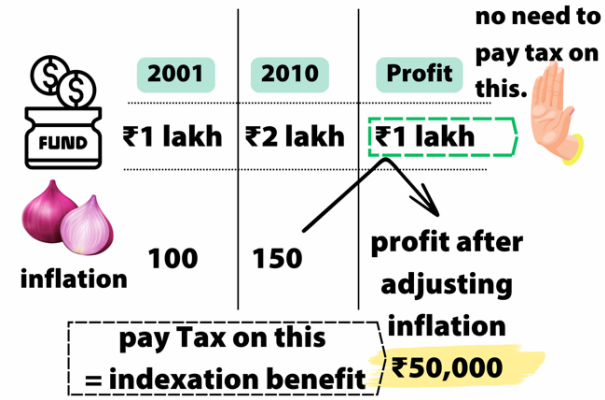
(c) St-I is correct but St-II is not correct (d) St-I is not correct but St-II is correct

21.9.1 🍋 CGT 🍴 on Share market profit in 👛Budget-2024-July

Type of Capital Gains मुनाफ़े पर पूंजीगत लाभ कर	Current Rate	New Tax Rate
Short-Term Capital Gains (if share sold within 12 months of ownership)	15%	20%
Long-Term Capital Gains (if share sold after 12 months of ownership)	10%	12.50%

- helps prevent over-financialization of the economy- refer 1C2. (अति-वित्तीयकरण रोकना है।)
- Short-term capital gains tax is now 1/5 of the profit (=20%). This will automatically encourage the investors to hold the stock for longer period (12.5% tax) before selling, thereby reducing the volatility and speculation in the market. (निवेशकों को जल्दबाज़ी में शेयर बेचने से रोकना है ताकि बाज़ार में अस्थिरता/सट्टेबाजी कम हो।)

21.9.2 CGT → Indexation benefit / cost inflation index (CII) benefit (सूची करण लाभ)

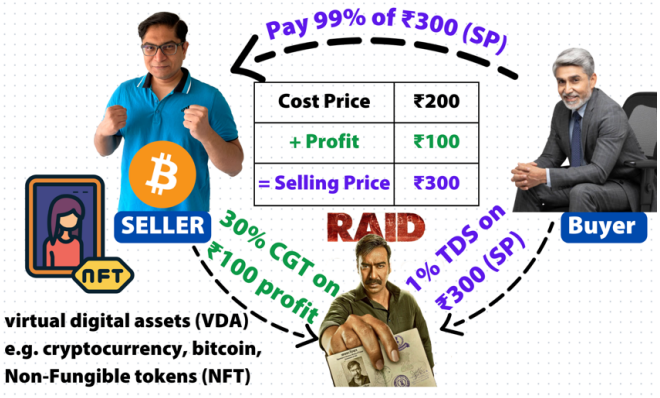


- Indexation benefit = adjusting the profit as per changes inflation. So that person has to pay less amount of Long term Capital Gains tax. (This is not available in short-term capital gains tax)

Indexation benefits on capital gain tax?	BEFORE	AFTER
profits made from Debt mutual funds (they invest the clients money in Company bonds/ G-sec/debt instruments.)	Yes given	Stopped from 1/Apr/23.
Normal shares / bonds	NO	NO
Bitcoin/cryptocurrency profit	NO	NO
real estate (building/property)	Yes	some changes in 2024. but I'm deleting it from HDT bcoz outdated/technical.

FAQ: is Indexation benefit given in XYZ other instrument? Ans. I don't know. We are not here for Chartered Accountant exam.

21.9.3 Bitcoin Profit pe 30% Tax and transfer pe 1% TDS in Budget-2022



21.9.4 Budget-2026: Sovereign Gold Bond- no CGT exempt IF secondary market sold

Sovereign Gold Bond (SGB) gives two streams of income: (Ref: Pillar#1c1)

- (1) Annual interest ~**2.5%**
- (2) profit on the principal amount when gold prices increase. e.g. ₹30,000 → ₹1,00,000

SGB Income	Before	👛Budget-2026
Annual interest	income Tax लगेगा	Income Tax लगेगा
Profit from Principal when gold price increases.	0% Capital gains tax / Exempt माफ था	(1) Exempt ONLY if bought on issue date in primary market & held till maturity for 8 years. (2) BUT **If investors dealt in secondary market (reselling before maturity)** = they must pay CGT. And it will not be adjusted with inflation. So no indexation benefit.

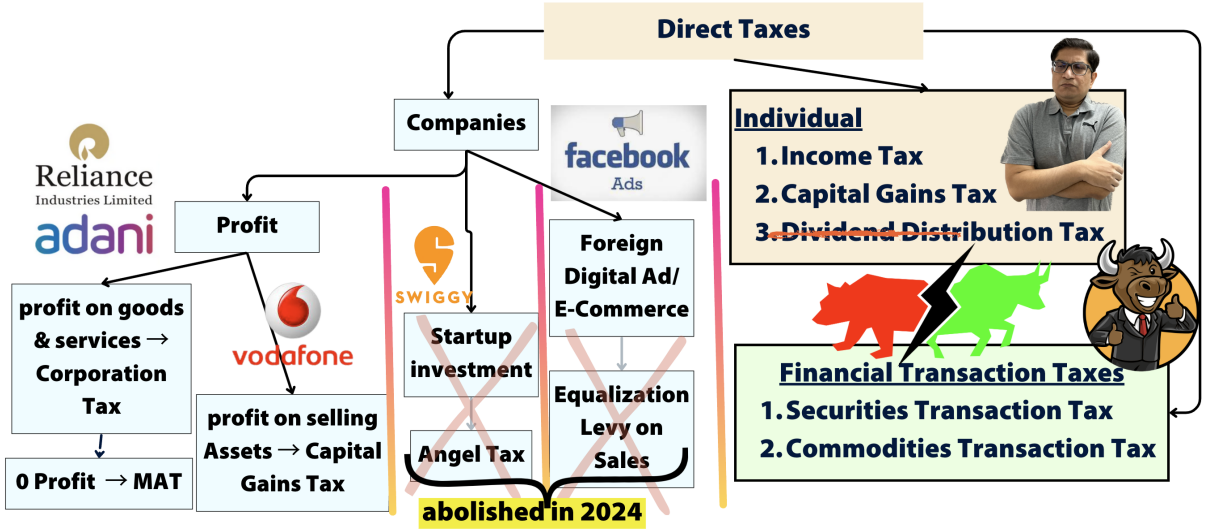
- As we learned in Pill-1C1 The sudden increase in gold prices forced the Govt to stop issuing new batches of SGBs in the future (2025). However, the Govt has to still pay off past investors.
  - So, the Govt changed the CGT rules to collect some money back through taxes. Investors are unhappy with this economic policy uncertainty.

21.9.5 💸🍋❌ FPI/FII: Retrospective Tax Exemption on G-Secs via IT Ordinance (2026)

- 2025–26: Foreign investors pulled out billion$ from India → rupee gets weaker (Ref: Pill#3)
- 2026-June: Govt passed income tax ordinance 2026 to attract foreigners to invest in G-Secs.

FII/FPI	Taxes on their investment in G-Sec	After
Interest pe income tax	20% (this was withheld from their payment similar to TDS, hence called '**Withholding Tax**') (ref TDS section for more)	Zero
Capital gains	12.5%-30% (depending on when sold in secondary market)	Zero

The exemption is announced in June 2026 but made effective from 1 April 2026, therefore, called "**retrospective** exemption" (पुरानी तारीख़ से छूट)

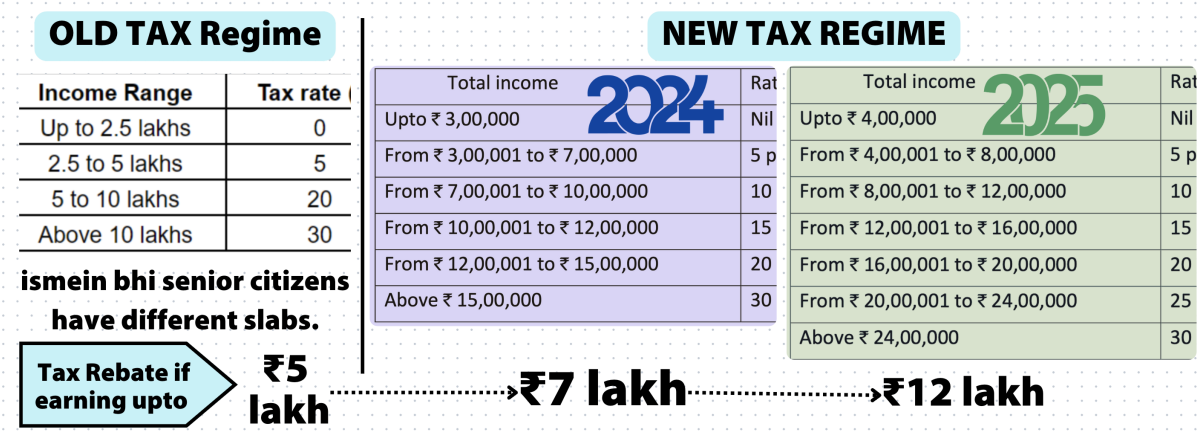


21.10 🍊🤼♀: 👨‍👩‍👧‍👦 Income Tax on Individuals (व्यक्तिक आयकर)

James Wilson (financial member of the Council of India, founder of the Economist magazine and Standard Chartered Bank) introduced income tax in India on 24 July 1860 to compensate the British losses during 1857's Sepoy mutiny. So, **24th July** is celebrated as **Income Tax Day** (Aaykar Diwas).

21.10.1 Old Tax Regime (OTR) vs New Tax Regime (NTR)

You can use any ONE of the given system OTR or NTR. NTR was started from 2020.



Sr	Matter	OTR	NTR-2025
Sr.1	(Non-Agriculture) Gross Income of salaried employee aged less than 60YR	7,50,000	12,75,000
Sr.2	minus Standard deduction	-50,000	-75,000
Sr.3	minus NPS deduction	-50,000#	N/A*
Sr.4	minus LIC, Home Loan etc deduction etc	-1,50,000#	N/A*
Sr.5	**Taxable Income: (Sr.1-2-3-4)**	**5 lakh**	**12 lakh**
Sr.6	Income Tax on taxable income (Sr.5)	12,500	60,000
Sr.7	**REBATE on Income Tax (Sr.6).** Tax rebate given only if taxable income upto Rs.5L in OTR OR Rs.12L in NTR	**-upto 12,500****	**-upto 60,000****
Sr.8	Income tax to be paid (Sr.6-7)	0	0
Sr.9	surcharge on IT if taxable income >Rs.50 lakh	N/A	N/A
Sr.10	4% health & Education Cess on (Sr8+9)	(0+0)x4%=0	(0+0)x4%=0
	Total Tax to be paid	**0**	**0**

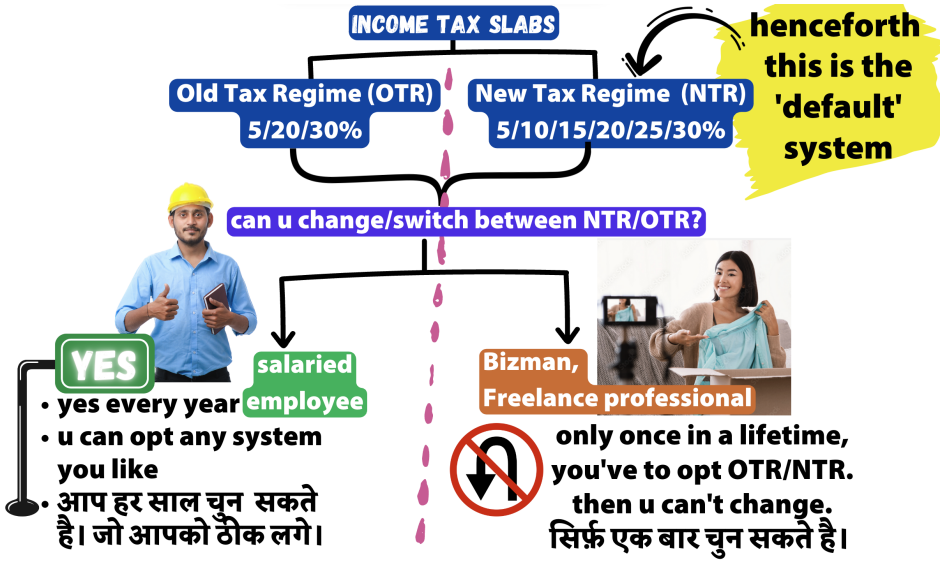
- # These are max deduction limits. So if u invest more money in LIC/NPS beyond these limits, still you'll NOT get more deduction than this. (इससे ज्यादा पैसा डालोगे तो भी ज्यादा माफ़ी नहीं मिलेगी)
- *in NTR, whether person saves money in LIC/NPS etc or not, he'll not get any deduction benefit (except Std deduction). So N/A = not applicable.
- **Tax rebate allowed only if taxable income upto Rs.5 lakh in OTR OR Rs.12 lakh in NTR. So if Akshay Kumar has 200 cr income = he'll not GET REBATE. He'll have to pay income tax.

21.10.2 Income Tax: NTR increases disposable income

⇒ **Disposable income** = income left for spending, after deduction of direct taxes and social security (LIC, NPS etc.) (खर्च करने योग्य आय वो आय है, जो प्रत्यक्ष-कर और पेंशन-बिमा वगेरा भरने के बाद आपके पास रहती है)

⇒ in NTR more tax relief than OTR, so yes it increases disposable income ➡ increased consumption and GDP growth.

21.10.3 Income Tax: switching between NTR vs OTR ? What is 'default'?



21.10.4 Surcharge on Income Tax

Surcharge, if taxable income is	OTR (Old Tax Regime)	NTR (New Tax Regime)
More than ₹50 lakh upto 1 cr.	10%	10%
More than ₹1 cr upto 2 cr.	15%	15%
More than ₹ 2 cr upto 5 cr.	25%	25%
More than ₹5 cr	37%	25%

21.10.5 Effective Income Tax on super-rich person earning >5 cr

Sr	Item	OTR	NTR
Sr1	Income Tax Highest Slab	30%	30%
Sr2	Surcharge on Income Tax	37% of 30%IT = 11.1%	25% of 30%IT = 7.5%
Sr3	Heath Edu Cess on (Sr1+Sr2)	4% (30%+11.1%)=1.64%	4% (30%+7.5%)=1.5%
Effective Income Tax = Sr1+2+3		**42.74%**	**39%**

21.10.6 👨🏻👴🏻Income Tax Slabs -> old tax regime -> senior citizens

- New Tax regime doesn't have separate slabs for older people. But,
- (OLD Tax Regime) Income tax slabs for senior citizens are slightly relaxed.

OTR income tax	0%	5%	20%	30%
Less than 60 age	Upto 2.50 lakh	2.50-5 lakh	5-10 lakh	>10 lakh
60 or more but less	Upto 3 lakh	3-5 lakh	Same as above	Same as above

OTR income tax	0%	5%	20%	30%
than 80 age				
>80 age	Upto 5 lakh =0%	N/A		

21.10.7 Revenue Forgone / Tax Expenditure (परित्यक्त राजस्व/कर खर्च)

Sr	Matter	OTR	NTR
1	non-agro Gross salary income	Rs.5.50 cr	Rs.5.50 cr
2	Tax rebate	N/A bcoz income >5 lakh	N/A bcoz income >7 lakh
3	**Tax+Surcharge+Cess=**	**Rs.2,31,35,190**	**Rs. 2,10,40,500**

⇒ Note: above table is **only for example**. Numbers not accurate.

⇒ in above case, Tax Payer has to pay Rs.20,94,690 LESS in NTR compared to OTR.

⇒ So from Tax-payer's point of view, this is '**Tax savings'.**

⇒ From the Govt's point of view this is '**revenue forgone / tax expenditure**' (सरकार के नए स्लेब/नियमो के चलते जितना कर कम आया, सरकार उस नुक्सान को 'राजस्व परित्यक्त/कर खर्च' कहते है.)

⇒ Govt deliberately makes such 'revenue forgone' to boost the economy indirectly. (अर्थतंत्र की बहेतरी के लिए सरकार जानबुज कर ऐसा राजस्व परित्यक्त करती है.)

⇒ 👛Budget-2025: revenue forgone ₹1 lakh cr in direct taxes & ₹2600 cr in indirect taxes.

21.10.8 🍭 Income Tax - no changes in 👛Budget-2026

Self-explanatory from heading.

21.11 🍋🤷‍♀️ Direct Taxes: Misc. Concepts (इधर उधर के छिटपुट मुद्दे)

21.11.1 🍋👨‍👩‍👦‍👦Hindu Undivided Family (HUF) (हिंदू अविभाजित परिवार):

- A Hindu, Buddhists, Jains, or Sikhs family members can come together, pool their assets and form an HUF under the Income Tax Act. (उनको आयकर बचाने में कुछ फ़ायदे होते हैं)
- HUF is taxed separately from its members, & helps saving taxes due to certain provisions/loopholes of Income Tax Act. How exactly? Ans. not here for CA exam.

21.11.2 🍋🤎⚕Presumptive Taxation (प्रकल्पित कराधान)

- Salaried employees can easily compute their taxable income from their annual salary, & **pay income tax**. (तनख्वाह-शुदा/ वेतन-भोगी कर्मचारी के लिए आयकर गिनना बहुत आसान होता है)
- Companies hire full time Chartered Accountants to computer their taxable income and **pay Corporation tax**. (और कंपनी के मालिक तो हिसाब किताब रखने के लिए CA को नौकरी पे रखेंगे)
- But **self-employed freelance** consultants / professionals such as lawyers, doctors, fashion designers, DJ-walle-babu etc. face difficulty in keeping such account books. (लेकिन स्वरोजगारियों के लिए हिसाब किताब रखना थोड़ा मुश्किल होता है.)
- So, for above persons, Income Tax Act has Presumptive Taxation System. It is not a separate tax but a 'method/formula' to calculate their income tax. How it works? NotIMP. (यह कोई अलग कर नहीं है किंतु आयकर गिरने का एक अलग किस्म का सूत्र है. वह क्या सूत्र है हम पढ़ने नहीं बैठेंगे)

Table 1: ✋don't confuse the terms and at the same time no need for CA-giri

Income Tax on income other than agri → (आयकर)	⇒ A direct tax levied by Union. ⇒ Every resident has to pay it on his taxable income. ⇒ Within that income tax: lawyers, doctors, fashion designers etc. **self-employed/freelance <u>professionals</u>** do calculation of income tax using Presumptive Taxation
Professional tax (व्यवसाय कर) →[गैर-किसान पेशेवर पर राज्य सरकार का कर]	⇒ It is a separate direct tax Levied by State Govt on the professionals (who are not farmers). ⇒ Constitution says it can't be more than **₹2,500 per yr per person**.

21.11.3 🍋⏰Advance Tax ? (अग्रिम कर)

- New financial year starts from 1st April 2019 and ends on 31st March 2020.
- If everyone paid all of their direct taxes at 11:59PM on 31st March 2020, then govt. will face money-shortage for the whole year till 31st March midnight comes.
- So, Advance Tax mechanism requires people to pay their Income tax and Corporation tax in advance-instalments on quarterly basis (every 3-3 months), If their annual tax liability is ₹10,000 or more. (बड़े आयकरदाता और कंपनियों ने हर तीन तीन महीने पर किश्तों में कर जमा करना होगा)

21.12🍋👨🏬✂️TDS & TCS

To keep track of income/payment & reduce opportunities of tax-evasion/blackmoney, Government requires TDS/TCS to be collected in certain payments.

	Who collects/cuts it?	**From whose payment?**
TDS TAX DEDUCTED AT SOURCE	(खरीदार) Buyer of goods/services/investment before making payment to the seller/investor. Examples: ⇒ University **<u>paying</u>** salary to employee/professor ⇒ Book Publisher **<u>paying</u>** royalty to author ⇒ Banker/Bond-Issuer **<u>paying</u>** Interest ⇒ Company paying dividend to shareholder	⇒ Seller's fees (e.g. wedding-DJ/Catering walla) ⇒ Employee's salary, ⇒ Depositor/ lender's interest ⇒ Shareholder's dividend etc.
TCS: TAX COLLECTED AT SOURCE	(विक्रेता) Seller of Goods/Service e.g. Luxury Car Showroom Owner, Foreign Currency Seller, Foreign tour companies.	Customer who is buying specified types of goods/services/foreign currency. (चुनिंदा वस्तुओं और सेवाओं के ग्राहक)

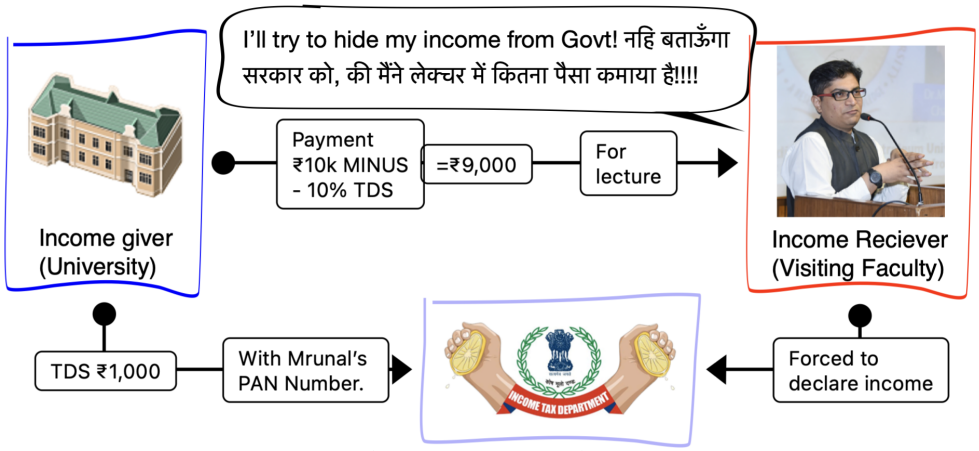
⇒ 🚩👶FAQ: Whether TDS/TCS applicable on "X" thing or not? ✋Ans. not important beyond examples given in table.

⇒ 🚩👶**FAQ: Can we call TDS and TCS indirect taxes?** Ans. ✋No, they are administrative mechanisms to discourage black money. TDS/TCS are not separate taxes. E.g. TDS that is cut from salary/dividend/bank interest= ultimately that TDS ₹₹ goes into the income tax computation of respective employee/shareholder/depositor. So TDS is not a separate tax.

21.12.1 ✂️ TDS/TCS rationalization in 👛Budget-2026

- Reduced the TDS/TCS rates on many types of transactions. e.g. TCS on foreign (tour, education, hospital).
- Decriminalised some minor offences related to TDS— just pay the penalty, no jail.

21.13🍋👨‍🏫✂️Tax Deducted at Source (TDS): (स्रोत पर कर कटौती)

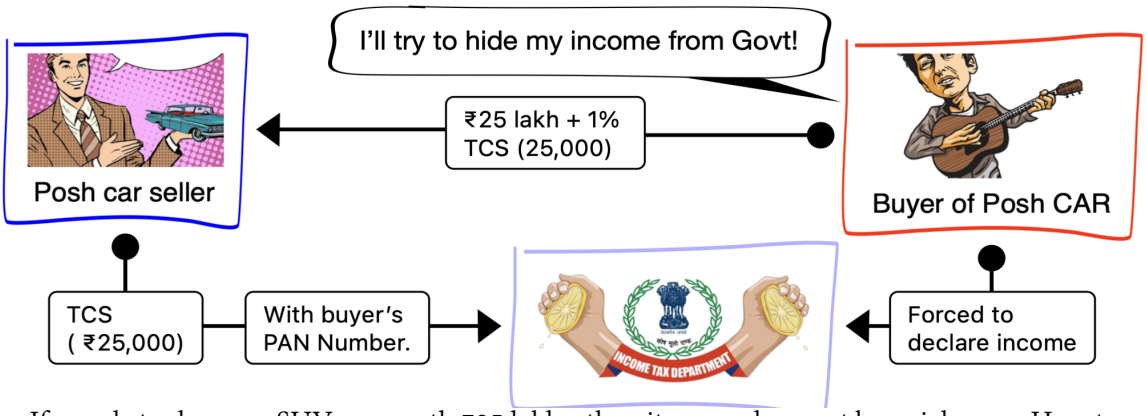


- Suppose a college pays ₹10,000 to a freelance visiting faculty.
- Suppose a bank/NBFC/post-office pays ₹10,000 as interest to a depositor, then how to ensure that payment-recipient (visiting faculty) reports his income to the tax authorities, otherwise he could avoid paying taxes!!
- So, Income Tax Act requires such organizations (college) to deduct a portion of the payment at source and deposit it to IT-dept. along with PAN card number of the recipient.
- Then, payment-recipient (visiting faculty) will be forced to file his tax return form, to unlock his TDS amount.
- 😨On one side, TDS helps fighting tax evasion but on the other side, TDS also creates hardship for lower middle-class persons, because part of their payment is cut in advance. So, in each budget, Govt will finetune the norms.(कभी सख़्ती की जाती है, कभी रियायत दी जाती है)
- **Budget-2019: TDS on cash withdrawal to encourage digital payments**
  - 2% TDS if total cash withdrawn during a financial year exceed 1 crore from a single user-account in bank or post-office. This will encourage digital payments.
  - **Related?** *Banking Cash Transaction Tax (BCTT: 2005-09)* in 📄Pillar#2B:Black Money
- Budget-2020, 2021: some technical changes. NOTIMP for Exam#🕰️थोड़ा-पढ़ो-आगे-बढ़ो
- Budget-2022: 1% TDS on Bitcoin and other Virtual Digital Assets (VDA)'s transfer/trade.
- 👛Budget-2024-July: reduced TDS on some transactions.

21.13.1 (🍋👨‍🏫✂️) TDS on influencers / influencer tax

FAQ: but how will company 'deduct' the TDS, when phone is given as 'physical item' to influenzer!? they'll have to deposit it extra. then we can't call it 'deducted'. Ans. PYQS given in handout, where is UPSC asking practical problems? move to next topic. PhD NOT-IMP.

21.13.2 Tax Collected at Source (TCS): (स्त्रोत पर संगृहीत कर)



- If a rockstar buys an SUV car worth ₹25 lakhs, then it means he must be a rich man. How to ensure he is paying Income Tax regularly (apart from TDS mechanism)?
- So, the car showroom owner (seller) is required to collect extra 1% from Rockstar (Buyer) and deposit to IT-dept. Rockstar will have to file tax-return to unlock this amount.
- Budget-2025: TCS relief given on some transactions. But poor cost benefit preparing list.

21.14 Tax Refund? (कर वापसी)

- A person is eligible to receive income tax refund from IT-dept IF he has paid more tax to the govt than his actual tax liability. e.g. If college deducted 10% TDS from freelance visiting faculty payment, but what if he was in 0% Income Tax slab or earning less than ₹12 lakh then he has to pay no Income Tax!! Then, Income Tax Department will refund his money with interest.
- Similarly, if advance tax (income tax, corporation tax) paid was more than actual liability then refund possible.

21.14.1 Tax Refund → Deferred Tax Assets

- In Pillar#1B2:NPA, we had learnt how bankers delete/write-off the NPA from their balance sheet for tax benefit.
- Deferred tax assets is a concept associated with its tax-benefit / tax refund.
- How exactly works? Not imp. If you have time to waste then watch my 9 min Youtube lecture on it https://youtu.be/DzNBzhYw6EY?si=riANs_psHdfP45uz

21.15 Misc. Direct Taxes - Financial Transaction Taxes (वित्तीय लेनदेन कर)

21.15.1 (Concept) Tobin Tax / Robinhood Tax

- 1970s: Nobel recipient American economist James Tobin proposed a small tax everytime currency is converted into another currency (e.g. $ to ₹).
- Such tax will discourage short term speculative investment and flight of capital from one country to another = stabilizing the global economy and currency exchange rates and share market.
- In India, foreign currency conversions subjected to GST (which is in indirect tax). However, some other nations collect it as direct tax. (More in *Pillar#3A)*

21.15.2 STT & CTT (प्रतिभूति लेनदेन कर और वस्तु लेनदेन कर)

- **Securities Transaction Tax** (STT: प्रतिभूति लेनदेन कर) is levied on the sale and purchase of shares, ETF-units, derivatives and other securities at stock-exchanges.
- Its rate (0.001%-2%) varies as per the nature of the securities.
- **Commodities Transaction Tax** (CTT: वस्तु लेनदेन कर) is levied on non-agricultural commodities traded at Commodities-Exchanges. Rate ~0.01%.
- FAQ: WHO will pay this tax? Buyer or seller? Ans. Buyer / seller depends on nature of the financial security. Waste time doing PHD here https://cleartax.in/s/securities-transaction-tax-stt
- FAQ: how can u call them direct taxes? Ans. They're levied by Central Board of **Direct Taxes** using the powers/provisions under Income Tax Act.

Direct Tax	By	Description
Capital Gains Tax	**Union Govt**	Applicable when any capital asset e.g. home/share/bond/bitcoin is "**sold at profit**" by its previous owner.
Securities Transaction Tax	**Union Govt**	⇒ Applicable on the selling price of share, bond and other securities. ⇒ Irrespective of whether seller is making profit or loss.
Dividend Distribution Tax	**Union Govt**	⇒ Applicable on the dividend paid by by company to a shareholder. ⇒ Budget-2020 abolished this tax. (ये टेक्स तो रद्द/बंध हो गया है)
Stamp Duty (स्टाम्प शुल्क)	**State Govt**	⇒ Applies on value of share/bond/securities, immovable properties (e.g. building) and certain legal agreements e.g. rent agreement etc. ⇒ Irrespective of whether seller is making profit or loss. ⇒ 2020: Union govt amended the Indian Stamp Act, 1899 so that the Stamp duty rates on **share/bonds/securities** become **uniform** across the states. (प्रतिभूतियों पर स्टेम्प शुल्क के दरों को सभी राज्योमे एकसमान किया). Union

Direct Tax	By	Description
		collects → distributes it to State Govt of domicile of the buyer. (प्रतिभूति खरीदार जिस राज्य का है, उधर की राज्यसरकार को मिलेगा) ⇒ Corona 2020 → Union Govt postponed implementation date.

21.15.3 🎰🐻 STT on F&O market hiked to prevent 'Over-financialization' in 👛Budget-2026

F&O Instruments	Before	After 👛Budget-2026
Futures	0.02%	**0.05%** ⇑
Options	0.1% -0.125%	**0.15%** ⇑

What is **Over-financialization**? (Ref: Pillar#1C2)

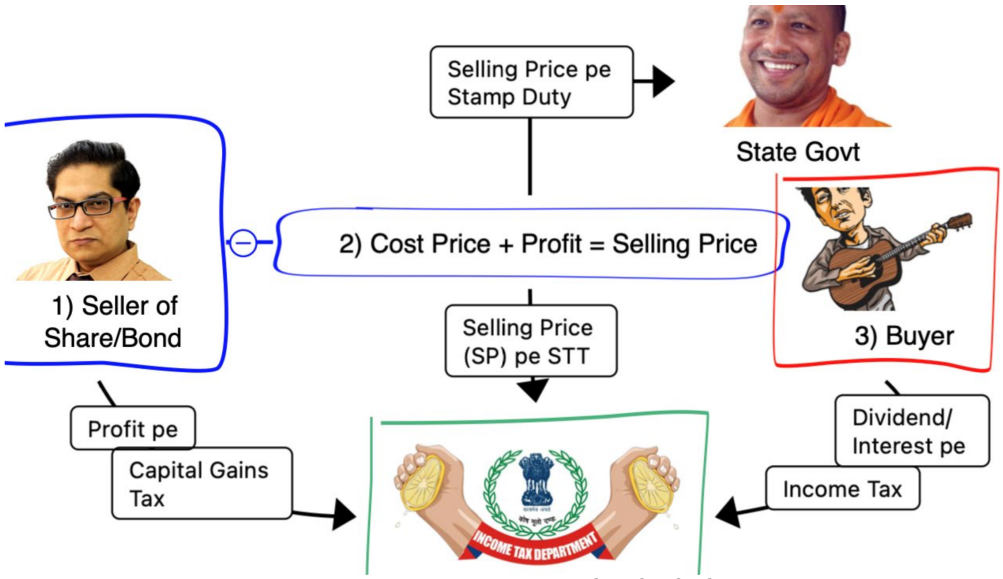


Table 3: Not here for C.A. Exam, #थोड़ा-पढ़ो-आगे-बढ़ो

🔠 **MCQ. Find correct about Securities Transaction Tax (STT) in India: (GPSC'25)**

1. STT is a tax levied on transactions carried out on the domestic stock exchanges

2. STT is an indirect tax. 3. STT is collected for the government of India by the stock exchanges.

Codes: (A) 1 and 2 only (B) 1 and 3 only (C) 1 only (D) 2 and 3 only.

Note: as per GPSC official Anskey – its "B". So they also accept STT is direct tax. ChatGPT के भरोसे मत रहो, it may give different ans.

Next Handout Pillar#2A2: Indirect Taxes & GST